

YB pitch deck

PITCH — YB — PROPOSED VERDICT (PROPOSED — PENDING ADJUDICATION)

PROPOSED — PENDING ADJUDICATION: NO ENTRY. Stay flat through the ~Aug-26 earnings report. The case is tabled as “missing data + wrong timing,” not dead — reopen it on the Q2 segment detail, on finally reading the annual report, or on the first quarter reported under the new marketing rule (~March 2027).

What we believe

Yuanbao Inc. (NASDAQ: YB) is a Chinese online insurance distributor whose business is, on the numbers it publishes, growing fast and profitable. The stock has been cut in half — \$13.84 against a 52-week high of \$30.50, and only 15% above its low of \$12.01, which itself sits about 20% below the IPO price. The market is pricing a regulatory threat: in April 2026 eight Chinese regulators issued sweeping new rules on online financial marketing, and separately China has been enforcing a rule that commissions insurers pay to distributors must match the rates they filed with the regulator (the “fees must match filings” regime).

Our review reached a two-part conclusion:

1. The threat is real and the company’s revenue is moving toward it, not away from it.

In Q1 2026, “system services” fees — the category regulators have publicly named as a common disguise for excess commission — were 68.8% of revenue and grew faster (+39.8%) than the plain-vanilla distribution line (+27.8%). The faster-growing two-thirds of the business is exactly the part under the microscope. Source: the company’s own Q1 release, <https://www.globenewswire.com/news-release/2026/06/10/3309527/0/en/Yuanbao-Inc-Announces-First-Quarter-2026-Unaudited-Financial-Results.html>

2. The question cannot be answered on the timeline the stock is trading on. The new marketing rules were *issued* April 24, 2026 but do not take *effect* until September 30, 2026 (confirmed via Caixin: <https://www.caixinglobal.com/2026-04-28/china-imposes-sweeping-curbs-on-online-financial-marketing-102438783.html>). So the upcoming ~Aug-26 report can partially test the commission-fee question, but the marketing-rule question stays open until the October–December quarter reports, around March 2027. A clean report this month would not clear the cloud.

On top of that, the stock is structurally hard to own: insiders hold ~96.8%, the tradeable float is roughly \$20M, daily volume is about \$196k, and the company announced a \$15M buyback — about 75% of that float. Even if we were right, getting out would be slow and expensive.

What the market believes

The 54% drawdown says the market believes the regulatory changes will materially damage the economics — either the fee category gets reclassified/compressed, or the short-video and livestream marketing funnel (how the company acquires customers) gets restricted. A secondary belief, common to controlled Chinese ADRs: that minority shareholders may never see the cash. That second belief took a real hit in our review — the company paid a \$58M dividend that actually cleared China’s capital controls and reached ADS holders’ accounts. The money can get out. That is a genuine point against the deepest bear case, even though ~\$56M of the \$58M went to insiders simply because they own ~96.8%.

Why we might have edge

- **We dated the rule correctly and most commentary doesn’t.** Knowing the effective date is 9/30/26 tells you what each earnings report can and cannot prove. Anyone buying a “clean” Aug-26 report as vindication is buying an untested quarter.
- **We identified which leg is testable now.** The fee-matching enforcement is already live on the insurer side; the Aug-26 report’s segment split (system-services growth and implied take-rate, plus sales-and-marketing spend ratio) is a real, immediate test of the larger threat.
- **The rule may cut both ways.** The marketing rules confine online insurance marketing to licensed institutions and their contracted platforms. YB is a licensed distributor. The same rule that threatens its funnel could eliminate unlicensed competitors’ funnels and consolidate share toward it. Nobody in the public discussion we found is pricing that branch.
- **The cash-actually-moves proof.** The dividend clearing to ADS holders, plus a buyback done below roughly 3.5× earnings (which mechanically increases remaining holders’ share of profits), refutes the laziest version of the bear case.

Why it might be priced in

Honesty requires the symmetric list, and it is heavier:

- **The discount may simply be correct.** If “system services” fees are premium-linked commission in disguise, reclassification compresses two-thirds of revenue, and the current price could still be too high. We could not verify the fee contracts — see below.
- **There is no way to be proven right soon.** The decisive quarter reports around March 2027. Until then, every report can hurt the stock but none can clear it. Money parked here is dead for two-plus quarters even in the good case.
- **A clean Aug-26 report is biased upward anyway.** Marketing spend was likely pulled forward ahead of the September 30 deadline, so even the partially-testable leg reads better than the future run-rate.
- **The exit door is tiny and shrinking.** ~\$20M float, ~\$196k/day volume, and a buyback consuming up to 75% of the float. A controlled company shrinking a micro-float is also the classic setup for a take-private at a modest premium, which would cap the upside regardless of business value. (Our cross-examination correctly noted there is *no evidence* of a take-private on the record — this is a structural possibility, not a prediction.)

- **Latent insider supply.** Insider selling so far is clean (only option exercises at \$0.15/share and tax withholding), but that means enormous near-zero-cost stock sits behind the float, un-sold so far.

What we checked ourselves

Claim	How checked	Found	Confirmed?
“Q2 2026 is the first quarter fully exposed to the April marketing rule” (our original thesis)	Caixin + two law-firm summaries of the rules	Rules issued 4/24/26, effective 9/30/26 . First fully exposed quarter is Q4 2026, reporting ~March 2027. Our own thesis had the decisive quarter wrong — this was our largest internal error.	REFUTED (our error)
“Therefore the Aug-26 report tests nothing” (our bear team’s extension)	Cross-examination of which regime is live when	Overreach — fee-matching enforcement on insurers is already live, so Q2’s segment split <i>does</i> test the fee leg. Only the marketing leg waits. Second bench error, caught internally.	PARTIALLY REFUTED
System-services fees = 68.8% of revenue, growing faster than distribution	Company Q1 2026 release (GlobeNewswire, linked above)	RMB 904.6M, +39.8% vs +27.8%. The “migration into the condemned category” reading is interpretation, but the numbers are the company’s own.	CONFIRMED
\$58M dividend proves minorities can be paid	13G/A filings + company releases	Cash genuinely exited China and reached ADS accounts (refutes the transfer-restriction bear); but ~\$56M of it went to the 96.8% insiders, pro-rata. Both readings are true.	CONFIRMED (both halves)
\$15M buyback ≈ 75% of the tradeable float	Buyback announcement vs ~\$20M float, ~\$196k/day volume	Arithmetic confirmed. Whether it’s minority-friendly (accretive at ~3.5× earnings) or a take-private setup is unresolved.	CONFIRMED (size), OPEN (meaning)
Trailing net income ≈ US\$196M	SEC structured data + filings	Structured (XBRL) quarterly data is empty — foreign filer; all quarterly figures come from unaudited press releases.	PLAUSIBLE, NOT CONFIRMED
Insiders dumping post-lockup	Every Form 4 since March	Only \$0.15 option exercises and tax withholding; passive 5% holders’ stakes unreduced.	REFUTED (clean so far)
Next earnings date	Data pack said Sep-2; aggregator says Aug-26; no company announcement exists	The pack’s date was wrong; Aug-26 is also unconfirmed. Q1’s date announcement came ~7 days ahead, so watch ~Aug-19.	UNCONFIRMED
Current price \$13.84	Re-verified against a live quote source (https://stockanalysis.com/stocks/yb/)	Matches.	CONFIRMED
Annual report (20-F) contents: fee-contract mechanics, insurer concentration, dividend restrictions	Three separate download attempts across sessions	Blocked (HTTP 403) every time. The single most important document in this case has not been read by anyone on our side.	NOT CHECKED — open gap

Claim	How checked	Found	Confirmed?
“YB’s license class covers its short-video funnel” (the share-consolidation upside)	Attempted; answer lives in the unread 20-F	Unknown.	NOT CHECKED
Our bear team’s checklist discipline	Line-by-line audit	It skipped two required screening entries and added two unrequested ones. Immaterial to the outcome (all were no-signal), but a process miss worth recording.	CONFIRMED (minor error)

PROPOSED ENTRY BANDS

The courts propose no entry at any price today — not because the price is wrong, but because the two facts that would justify *any* size (are the fees contractual or premium-linked? how concentrated are the insurer customers?) sit in a document we have not managed to read, and the exit door is too small to buy first and verify later. No resting orders. These are the **reopen conditions**, taken from the benches’ own findings:

- **Reopen trigger 1 — the Aug-26 report (date unconfirmed; watch for the company’s date announcement ~Aug-19).** Read the segment split. The test the benches specified: system-services revenue growth and implied take-rate holding up, and the sales-and-marketing ratio not spiking. This tests the fee leg only; treat a clean marketing-funnel read as contaminated by pre-deadline pull-forward.
- **Reopen trigger 2 — actually reading the annual report**, using the browser-automation route that has beaten 这类 blocks before (this is an ordered action for the desk, not a wish). If it shows system-services fees contractually fixed rather than premium-linked, and no single insurer dominates revenue, the biggest kill-shot dies and the case re-files immediately.
- **Reopen trigger 3 — the real decisive quarter: Q4 2026 results, ~March 2027**, the first quarter fully under the marketing rules (effective 2026-09-30). Intact growth and margins there is the only report that can genuinely clear the overhang.
- **Price alarm, not a buy order: below \$12.01** (the 52-week low). A break of the low means the downward price-discovery our bear team flagged has resumed; that is a re-court signal, not a dip-buy — the record on reflexively buying breaks is poor.
- **Sizing if reopened:** deliberately unset. Both benches agreed even “fairly-paid, no-edge” classification is unavailable until the annual report is read; a re-filed court sets size. Given the ~\$196k/day volume, any future position must be sized to exit within days, which caps it at a small fraction of the book regardless of conviction.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 12.01 (deck-provisional: break of the 52-week low resumes downward price discovery — re-court, do not dip-buy)
- filing watch: 6-K until 2027-02-07 (deck-provisional: quarterly results — Q2 segment split (system-services growth/take-rate, S&M ratio) is the live test of)
- dated pack YB|2026-08-19: YB: expected company PR naming the Q2 earnings date (Q1 pattern: ~7 days ahead) (date confirmed=False)
- dated pack YB|2026-08-26: YB: estimated Q2 2026 results — tests the fee leg only; marketing leg untestable, pull-forward biases it clean (date confirmed=False)
- dated pack YB|2026-09-30: YB: online financial-marketing rules take effect (licensed-employee requirement for livestream/short-video) (date confirmed=True)
- dated pack YB|2027-03-15: YB: approximate Q4 2026 results — first quarter fully under the rule; the only report that can clear the overhang (date confirmed=False)

What remains unverified

1. **The entire annual report (20-F)** — fee-contract mechanics (fixed vs premium-linked), insurer customer concentration, VIE/dividend-restriction terms, and whether YB's license class covers its short-video marketing funnel. Every download attempt across three sessions returned HTTP 403. This is the case's center of gravity and it is unread.
2. **All quarterly financials** — the company is a foreign filer with no structured quarterly data; everything, including the ~US\$196M trailing profit figure, rests on unaudited press releases.
3. **The earnings date itself** — Aug-26 is an aggregator estimate; no company announcement exists.
4. **Whether the “system services” fees survive reclassification** — the single question the whole discount turns on; unanswerable before, at earliest, the Aug-26 segment detail, and fully only ~March 2027.
5. **Whether regulators will carve platform technology fees out of the fee-matching regime** — the bear team named this as a case-changer; no guidance either way yet.

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